TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Social responsibilities of business



Unit 6: Domestic environment
6.6 Ethical business practice, socially responsible business; Unit 1 · 1.1 People in business

A revision lesson. Pupils run a car dealership in firms of four and revise social responsibilities of business on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Which view of firm

Round 1

The board cuts staff training to pay a higher dividend this year.

Which view of the firm does this follow?

- **A** Paternalistic management
- **B** The shareholder view
- **C** Corporate social responsibility
- **D** The stakeholder view

ANSWER

✓ **The shareholder view**

Why: Putting the owners' return above other groups is the shareholder view.

2 Benefits of CSR

Round 1

Your firm pays for road-safety lessons in local schools, though no law asks it to.

Which two benefits are most likely?

- **A** Fewer laws to follow
- **B** A better local reputation
- **C** Lower costs this year
- **D** Higher profit this year
- **E** Easier to recruit staff

ANSWER

✓ **A better local reputation**
✓ **Easier to recruit staff**

Why: CSR costs money now, but wins goodwill with buyers and job seekers.

3 Dividend share

Round 2

Three firms: profit for the year, and the dividends paid.

Order by share of profit paid out, lowest first?

- **A** Profit €150,000, dividends €15,000
- **B** Profit €80,000, dividends €40,000
- **C** Profit €200,000, dividends €50,000

ANSWER

1. **Profit €150,000, dividends €15,000**
2. **Profit €200,000, dividends €50,000**
3. **Profit €80,000, dividends €40,000**

Why: 10%, 25%, 50%: the rest is kept to invest in the firm.

Topic tasks

4 CSR and profit

Round 2

Road-safety lessons in local schools.

Effect on profit? Minus if below zero.

Cost of the lessons, a year	**€9,000**
Extra sales from goodwill	**6 cars**
Contribution per car	**€1,900**

ANSWER

€2,400

6 × €1,900 − €9,000 = €2,400

Why: CSR costs money now; goodwill must bring sales to pay for it.

5 Does green pay?

Round 3

A green valeting firm costs €4,500 more a year and wins 4 extra sales, €900 contribution each.

Which choice gives the higher profit, and why?

- **A** Switch to the green firm
- **B** Keep the current firm

ANSWER

✔ **Keep the current firm**

Why: 4 × €900 = €3,600, under the €4,500 extra cost: on these figures it loses €900 a year.

6 Treat the residents

Round 3

Residents who care about traffic from your new showroom win the council's support.

How should you now treat the residents?

- **A** Consult them closely
- **B** Wait for the council to decide
- **C** Ignore them: they have no say
- **D** Send them a newsletter

ANSWER

✔ **Consult them closely**

Why: Their interest was high; with the council behind them their power is too.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Stakeholders, ethics and the community”: the 6 come from these 10 questions.

1 Who is a stakeholder in a car dealership?
✔ **Anyone the business affects: staff, customers, neighbours**

2 A dealer plans late-night deliveries that will wake nearby residents. Whose interests conflict?
✔ **The owners’ and the local community’s**

3 A dealer could sell a car with a hidden fault for full price. Why is honesty the better business decision?
✔ **Trust brings repeat customers and protects the firm’s name**

4 What does it mean for a business to act ethically?
✔ **Doing what is right and fair, not just what is legal**

5 How can a dealership have a positive economic impact on its community?
✔ **By creating local jobs and buying from local firms**

6 A dealership switches to recycling waste oil and LED lighting. Which type of impact on the community is this?
✔ **Environmental**

7 Shareholders want a bigger dividend and staff want a pay rise, but both cannot happen this year. What should a responsible owner do?
✔ **Weigh both groups’ interests and explain the decision openly**

8 Which is a social impact of a dealership on its community?
✔ **Sponsoring the local GAA club**

9 A customer, a technician and a bank that lent money: which of them are stakeholders?
✔ **All three**

10 A dealer donates €2,000 to a local charity and advertises the donation widely. Which view is a fair criticism?
✔ **The motive may be publicity rather than community**